

HSBC Global Trade Solutions

Indicative Term Sheet — Inventory Finance

Prepared for: Atlantic Metals Trading | 06 May 2026

Facility Summary

Parameter	Details
Borrower	Atlantic Metals Trading
Arranger / Facility Agent	HSBC Bank plc, London
Facility Type	Inventory Finance
Facility Limit	\$97M
Commitment	Uncommitted
Advance Rate	68%
Dilution Reserve	0.0%
Recourse	Non-recourse
Indicative Pricing	SOFR + 250bps + 50bps fee
Tenor	90 days
Governing Law	English Law

Eligibility Criteria

- Physical commodity in LME-approved warehouse
- HSBC-controlled warehouse receipt or trust receipt in place
- Commodity hedgeable on recognised exchange (LME, CME)
- LME-quality specification confirmed by independent inspector
- Collateral monitoring agent appointed
- Insurance in place (all-risk, warehouse-to-warehouse)

Distribution Structure

Parameter	Details
Structure	Originate-to-Distribute
HSBC Retained	88% of facility (\$85M)
Distributed to Investors	12% of facility (\$12M)
Arrangement Fee	35bps p.a. on distributed amount
Retained RoE	12.6%

Key Conditions Precedent

- Execution of facility agreement and all ancillary documents
- Satisfactory KYC / AML review and credit approval
- Legal opinions (English law, jurisdiction of borrower)
- Appointment of collateral monitoring agent (if applicable)
- No material adverse change since date of application

This term sheet is indicative only and does not constitute a commitment to lend. All terms are subject to credit approval, legal documentation, and internal compliance review. HSBC Bank plc is authorised by the Prudential Regulation Authority.